kindness of strangers, as it were—the more vulnerable we become to ‘sudden stop and exit’, a phrase that has become popular to describe a situation when external finance not only stops but even the investment already made is withdrawn. In normal times, there are checks against pressures building up to such unsustainable levels, as external financiers would raise the price of funding and alert us to the impending implosion. The system would self-correct through an exchange rate depreciation to limit the deficit to the available external financing.

Such an adjustment did not take place in our case because these were not normal times. Advanced economies were running historically easy monetary policies to stimulate their economies and all the ‘quantitatively eased’ money they were unleashing was flooding the global markets. This money was looking for quick returns, and short-term investments in emerging markets like India looked like an attractive option. These investments financed our deficits, and in the absence of the usual alert signals, we were lulled into complacency even as pressure was building on the rupee. By not addressing our structural imbalances and bringing the current account down to its sustainable level, we had set ourselves up for an abrupt and painful adjustment. Finding a scapegoat in Bernanke’s statement was politically convenient but, from an economic management perspective, clearly misleading.

My view was that the government and the Reserve Bank could not, and indeed should not, stand in the way of this adjustment as any such effort would be futile and costly. On the other hand, the sooner the exchange rate correction was over and done with, the sooner we would be able to make a fresh start. The effort of the government and the Reserve Bank, I thought, should be focused only on navigating the adjustment and guiding the exchange rate to its market-determined level.

I had genuinely believed that acknowledging that a massive correction in the rupee was unavoidable would not only manage expectations but also act as a lesson for the future. In the event, this did not go down well and was interpreted as being defensive and hapless.